

COOPERATIVES

A cooperative unit is defined as a residential or mixed-use building or project where a corporation or trust holds title to the property. The cooperative corporation sells shares of stock representing the value of a single unit to individuals who receive a proprietary lease or an occupancy agreement as evidence of his or her right to possess a particular unit.

The cooperative corporation owns the project land, dwelling units, and common elements (for example, halls and lobbies) and governs the shareholders and subleases through a cooperative board.

The cooperative corporation is the legal owner of the property and is responsible for management of the project, usually by a board of directors, and the project expenses, such as real estate taxes, hazard insurance, and other common expenses. The cooperative corporation usually finances the project by obtaining a blanket or underlying mortgage on the project based on a rental value. Therefore, the corporation is also responsible for meeting the mortgage debt obligation as part of the common expenses of the project.

The cooperative corporation is owned jointly by the tenant-stockholders by virtue of their ownership of stock, share, or membership certificates in the corporation. Tenant-stockholders receive exclusive rights to occupy specific units. In order for cooperative share loans to be eligible, the cooperative project in which the secured units are located must qualify as Cooperative Housing Corporations under Section 216 of the Internal Revenue Service Code. The cooperative corporation must provide a statement about the project's compliance with Section 216 of the Code.

Refer to the Eligible Property Types in the product descriptions for Cooperative eligibility. See *Fannie Mae Cooperative Property Program*, [Doc. #5917](#), for agency product details.

DOCUMENTATION REQUIREMENTS

Documentation Requirement for Type 1 Projects	
Uniform Cooperative Questionnaire , (fully completed and signed)	Prior to Closing
Cooperative Interest Appraisal (2090)	Prior to Closing
The current annual operating budget. If the most recent operating budget is not available, the most recent audited financial statements or corporate tax returns may be provided to determine that the financial requirements have been.	Prior to Closing
Most recent 2 years audited financial statements, with the most recent year being audited within 120 days of the co-op corporation's fiscal year-end	Prior to Closing
All required insurance declaration pages	Prior to Closing and At Closing
Proprietary lease	At Closing
Recognition agreement (legal requirements)	At Closing
UCC-1 Filing	At Closing

FANNIE MAE TEMPORARY REQUIREMENTS

The following requirements will remain in effect until further notice.

SIGNIFICANT DEFERRED MAINTENANCE AND UNSAFE CONDITIONS

Loans secured by units in cooperative projects with significant deferred maintenance or in projects that have received a directive from a regulatory authority or inspection agency to make repairs due to unsafe conditions are not eligible. These projects will remain ineligible until the required repairs have been made and documented. Acceptable documentation may include a satisfactory engineering or inspection report, certificate of occupancy, or other substantially similar documentation that shows the repairs have been completed in a manner that resolves the building's safety, soundness, structural integrity, or habitability concerns.

Significant deferred maintenance includes deficiencies that meet one or more of the following criteria:

- full or partial evacuation of the building to complete repairs is required for more than seven days or an unknown period of time;
- the project has deficiencies, defects, substantial damage, or deferred maintenance that
 - is severe enough to affect the safety, soundness, structural integrity, or habitability of the improvements;
 - the improvements need substantial repairs and rehabilitation, including many major components; or
 - impedes the safe and sound functioning of one or more of the building's major structural or mechanical elements, including but not limited to the foundation, roof, load bearing structures, electrical system, HVAC, or plumbing.

Additionally, projects that have failed to obtain an acceptable certificate of occupancy or pass local regulatory inspections or re-certifications are not eligible.

These policies do not apply to routine maintenance or repairs that a homeowners' association (HOA) undertakes to maintain or preserve the integrity and condition of its property. Also, if damage or deferred maintenance is isolated to one or a few units and does not affect the overall safety, soundness, structural integrity, or habitability of the improvements then these project eligibility requirements do not apply. Examples of this scenario include water damage to a unit due to a leaky pipe that is isolated or damage from a small fire impacting the interior of a specific unit. However, if the subject property unit is affected, our standard requirements for property condition apply.

SPECIAL ASSESSMENTS

Any current or planned special assessment, even if paid in full for the subject unit, must be reviewed to determine acceptability. Documentation must be retained in the loan file with the following:

- the reason for the special assessment;
- the total amount assessed and repayment terms;
- documentation to support no negative impact to the financial stability, viability, condition, and marketability of the project; and
- borrower qualification with any outstanding special assessment payment.

Obtain the financial documents necessary to confirm the association has the ability to fund any repairs. If the special assessment is related to safety, soundness, structural integrity, or habitability, all related

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repairs must be fully completed or the project is not eligible. Additionally, if unable to determine that there is no adverse impact, the project is ineligible.

BEST PRACTICES AND REMINDERS

In the event documentation is obtained (e.g. project questionnaire, appraisal, insurance, etc.) indicating deferred maintenance or other conditions that impact the safety, soundness, structural integrity, or habitability, Flagstar may request any of the following in adherence with Fannie Mae's best practices:

- Six months of the project's HOA meeting minutes review for references to items such as improvements, renovations, inadequate reserve funding, budget deficits, and negative cash-flows
- Any available inspection, engineering, or other certification reports completed within the past five years to identify deferred maintenance that may need to be addressed.

As a reminder, appraisers must document special assessments or deferred maintenance that may impact the safety, soundness, structural integrity, or habitability of the unit or the overall project and its amenities.

ELIGIBILITY REQUIREMENTS

- Project designed principally for residential use
- Owner-Occupied Primary Residence and Second Homes only
- Loans may not have subordinate financing
- Project must contain a minimum of 2-units
- All units, common areas, and facilities must be 100% complete and cannot be subject to additional phasing or annexation.
- Coop must be located in New York or New Jersey
- Project and units must be owned fee simple unless located in New York City or the Counties of Nassau, Rockland, Suffolk, and Westchester. See [Leasehold](#) requirements for restrictions
- The project must be located in an area with a demonstrated market acceptance for the cooperative form of ownership
- The project may not be an [Ineligible Project](#)
- See [Budget](#) section for requirements
- See [Co-Op Membership](#) section for requirements
- No more than 20% of the units in the project will be financed by Flagstar Bank.
- Must meet all the requirements listed above when applicable

INELIGIBLE PROJECT

- Land-Home Cooperative – A property located in a community where the individual homeowners own the dwelling and the cooperative corporation owns only the land and the common areas in the project
- Time-share or segmented ownership projects
- Houseboat projects
- Multi-dwelling unit projects that permit an owner to hold title to more than 1 dwelling unit, with ownership of all of his or her owned units evidenced by a single deed and mortgage
- Projects with less than 2-units

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- Projects that represent a legal, but non-conforming use of land, if zoning regulations prohibit rebuilding the improvements in the event of partial or full destruction
- See [Single Entity Ownership](#) section for limitations
- A tax-sheltered syndicate leasing to a cooperative or leasing cooperatives - Projects that involve the leasing of the land and the improvements to the cooperative corporation, even if the cooperative corporation owns part of the building
- Limited Equity Cooperatives (unless PERS approved) - Projects in which the cooperative corporation places a limit on the amount of return that can be received when stocks or shares are sold
- Projects in which the developer or sponsor (the person or corporation that takes on the responsibility of managing the project, usually a board of directors) has an ownership interest or other rights in the project real estate or facilities (other than the interest or rights it has in relation to unsold units)
- Manufactured Housing Units
- Live-Work Projects
- Continuing Care Facilities
- Total space used for nonresidential or commercial purpose exceeding 35%
- A project for which the homeowners association or developer, if the project has not been turned over to the unit owners, is a party to current litigation, arbitration, mediation, or other dispute resolution process and the reason for the dispute involves the safety, structural soundness or habitability of the project.
- Unacceptable Environment Hazard Assessment for any property identified as having an environment problem present.
 - **Refer to Fannie Mae Selling Guides for Phase I and Phase II assessments and unacceptable hazards**
- New projects where the seller is offering sale or financing structures in excess of standard eligibility policies including, but not limited to, contributions, sales concessions, HOA assessments, payment abatements, or undisclosed contributions.
- Projects with mandatory upfront or periodic membership fees for the use of recreational amenities, such as country club facilities and golf courses, owned by an outside party (including the developer or builder). Membership fees paid for the use of recreational amenities owned by the HOA or master association are acceptable
- Projects managed and operated as a hotel or motel

AMENDMENTS TO DOCUMENTS

The co-op's project's documents must provide for the tenant-stockholders to have the right to amend them. In addition, the co-op corporation must be legally bound to notify the holder of a co-op share loan about any proposed material changes to the co-op project with respect to allocation of membership interests, voting rights, insurance coverages, and any other provisions that are for the express benefit of the lender.

ASSIGNMENT OF CO-OP'S LEASE/OCCUPANCY RIGHTS

Generally, the project documents should not permit the co-op corporation to restrict the sale, conveyance, or transfer of a unit owned by a lender, its successors, or assigns, nor to place any limits on the assignment of the proprietary lease or occupancy agreement to the lender, its successors, or assigns. This lease or agreement must be assumable by the lender if the tenant-stockholder defaults on the share loan. If the co-op's organizational documents require that a tenant-stockholder be a natural person, they must

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permit the lender to select a non-corporate designee for any acceptance of a deed in lieu of foreclosure. If the lender assumes the lease or agreement as the result of the tenant-stockholder's default, the co-op corporation must allow the lender to attempt to sell its interest in the lease or agreement. However, if the lender is unable to effect a satisfactory sale within 60 days – either through its own efforts or with assistance from the co-op corporation – the co-op corporation may not prohibit the lender from subletting the unit.

The project documents may grant the co-op corporation the right to approve a lender's sub-lessee or to offer an alternate sub-lessee that is satisfactory to the lender. However, the co-op corporation's approval standards and procedures may not be unreasonably restrictive or in violation of application law, and the action must be completed within a reasonable time after the lender requests approval of a proposed sub-lessee.

APPRAISAL

A full URAR, Individual Cooperative Interest Appraisal Report Form 2090 is required on all cooperatives. Appraisal Form 2095 is not acceptable. The appraiser must provide at least one recent comparable within the same project and one from a competing cooperative project. The appraisal should indicate that the project is located in an area with a demonstrated market acceptance for the cooperative form of ownership. The degree of acceptance is generally reflected in the availability of information on similar comparable sales of cooperative units in the market area.

BLANKET MORTGAGE

The blanket mortgage for the project may be a balloon mortgage. The remaining term may not be less than six months. If the balloon mortgage incorporates an adjustable-rate feature, and the remaining term is less than three years, but not less than six months, the current interest rate may not be subject to an interest rate adjustment prior to the maturity date.

Fannie Mae purchases or securitizes co-op share loans regardless of whether Fannie Mae owns the blanket mortgage. However, if Fannie Mae owns an interest in the blanket co-op project mortgage, the maximum mortgage amount available to the borrower must be reduced by the portion of the unpaid principal balance of the blanket mortgage(s) that is attributable to the subject unit's ownership interest.

BUDGET

The most recent operating budget must

- Be consistent with the nature of the project; and
- Provide adequate cash flow to service the current debt and operating expenses; and
- Provide for adequate replacement and operating reserves

If the most recent operating budget is not available, the most recent audited financial statements or corporate tax returns may be provided to determine that the financial requirements have been met.

CALCULATING LTV RATIO

The method for calculating the LTV ratio for a co-op share loan is based on whether the borrower assumes his or her pro rata share of the blanket mortgage or does not. In those markets where the borrower assumes his or her pro rate share of the blanket mortgage, the LTV ratio is determined by dividing the original loan amount by the lower of:

- The sales price for the co-op unit, [unencumbered by the unit's pro rata share of the co-op project's blanket mortgage(s)], or

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- The appraised value of the co-op stock or shares and the related occupancy rights [unencumbered by the unit's pro rata share of the project's blanket mortgage(s)].

In those markets where the borrower does not assume his or her pro rata share of the blanket mortgage, then the LTV ratio is determined by dividing the original loan amount by the lower of:

- The sales price for the co-op unit, or
- The appraised value of the co-op stock or shares and the related occupancy rights.

CLOSING

Closing and closing document preparation must be coordinated and scheduled with one of Flagstar Bank's approved New York settlement agents for cooperatives as listed on *Approved Settlement for Cooperatives*, [Doc. #4641](#).

CO-OP CORPORATION'S RECOGNITION AGREEMENT, RESPONSIBILITIES, AND LENDER'S RIGHTS

The project documents must either require the co-op corporation to execute a separate agreement, such as a recognition agreement, or include provisions to recognize specific rights of the lender that finances the share loan, or those of its successors or assigns, and the co-op corporation's responsibilities to that lender.

CO-OP CORPORATION'S RESPONSIBILITIES

The recognition agreement, or the project's legal documents must include, among other things, the following responsibilities for the co-op corporation:

- The co-op corporation must evict a tenant-stockholder who has defaulted on his or her share loan and must terminate that tenant-stockholder's lease, if the share loan holder requests it to do so.
- The co-op corporation must be legally bound to notify the lender of any of the following changes or occurrences:
 - Any threatened or actual condemnation, eminent domain proceeding or acquisition, or any actual loss, whether or not covered by insurance, that affects any portion of the co-op project or unit
 - Failure to maintain compliance with co-operative corporation eligibility under IRS Code Section 216
 - Any 30-day delinquency by the co-op corporation in payments due under any blanket mortgage for real estate taxes, assessments, and charges imposed by a government entity or public utility, or under any ground lease
 - Any lapse, cancelation, or material modification of any insurance or fidelity insurance coverages maintained by the co-op project
 - Any proposed action that requires the consent of a specified percentage of eligible share loan holders
 - Any 90-day delinquency by the tenant-stockholder that is related to the payment of his or her monthly assessments or carrying charges.

LENDER'S RIGHTS

The project must grant the lender financing a share loan the right to cure the tenant-stockholder's default in his or her assessment payments or carrying charges and the rights to review and approve the following actions before the co-op corporation can consent to them any of the following:

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- Any surrender, cancellation, modification, or assignment of any documents evidencing ownership, possession, and use of a unit
- Any sublease of a unit
- Any further or additional pledge or mortgage of any documents evidencing ownership, possession, and use of unit
- Any action to change the form of ownership of the project
- The contraction, expansion, or termination of the co-op project

CO-OP MEMBERSHIP

The project documents must require that the sale or transfer of stock, shares, or membership certificates in the co-op corporation be in compliance with federal and state security disclosure laws. The documents also must require tenant-stockholders to own stock, shares, or a membership certificate, and permit the stock, shares, or membership certificates in the co-op corporation to be pledged and registered.

The project documents must give the tenant-stockholder a right to occupy the unit for a period that extends at least to the maturity date of the share loan, although this right should be subject to the terms and conditions of a proprietary lease or occupancy agreement between the tenant-stockholder and the co-op corporation. The documents also must prohibit the coop corporation from imposing unreasonable limitations on the tenant-stockholder's ability to sell, transfer, or convey his or her membership, or to sublease his or her unit. If the purchaser's right to membership or occupancy is subject to any right of the co-op corporation to give approval, the lender must furnish evidence to clearly show that such approval has been given.

DELINQUENCY

No more than 15% of the owners may be more than 60 days delinquent in the payment of their financial obligations to the co-op corporation.

FLIP TAXES

Co-op share loans secured by units in co-op projects that require the payment of a flip tax are eligible for delivery as long as the co-op project's legal documents permit the imposition of a flip tax and provide for one of the following:

- The lender is exempt from paying the flip tax if the lender acquires the co-op unit in foreclosure, in a transfer by the borrower in lieu of foreclosure, or any other transfer of the borrower's interest in the co-op unit in full or partial satisfaction of the borrower's obligations under the co-op share loan; or
- The flip tax is payable when the sales price of the co-op unit exceeds the existing unit owner's purchase price based on property appreciation and then is assessed only on the amount of the appreciated in value (this flip tax is profit-based).

If the flip tax does not meet one of these requirements and is due whether or not the sales price exceeds the existing unit owner's purchase price, then it may still be eligible as long as the amount of the flip tax is less than or equal to 5% of the value of the property, calculated as the lesser of appraised value or sales price, and it is calculated in one of the following ways:

- A flat fee
- A fee per share
- A percentage of the appraised value or sales price of the co-op unit
- A dollar amount per room

INSURANCE

FIDELITY (EMPLOYEE DISHONESTY) BOND, LIABILITY AND MASTER HAZARD INSURANCE

Refer to *Hazard Insurance Requirements*, [Doc. #4602](#).

FLOOD INSURANCE

Refer to *Flood Insurance – Broker and Non-Delegated*, [Doc. #4603](#) for coverage requirements.

LEASEHOLDS IN NEW YORK

For *Fannie Mae Cooperative Property Program* only, [Doc. #5917](#), projects subject to Leasehold Estates are eligible in the five boroughs of New York City and the Counties of Nassau, Rockland, Suffolk, and Westchester. Along with the Leasehold requirements under the Conventional Underwriting Guidelines for Fannie Mae, the below requirements must be met:

- The lessee under the ground lease to which the co-op project is subject is the co-op project's co-op association
- The unexpired term of the ground lease exceeds the term of Fannie Mae's co-op share loan by no more than 5 years
- The terms of the ground lease provide the following:
 - Grants the co-op association a lessee's interest in the property for an initial term of no less than 60 years, with at least one option to renew the ground lease for a term not less than the initial term
 - Provides that the co-op association's blanket mortgage will receive notice of any monetary or non-monetary default by the co-op association under the ground lease, and the ground lease grants such blanket mortgagee the right to cure such monetary or non-monetary default on behalf of the co-op association.
 - The co-op association may assign or transfer its interest in the ground lease
- If an increase in the related co-op project's obligation to pay annual ground rent, over and above any other payments to be made by the co-op association, is scheduled to occur on or before the second anniversary of the loan, based on date underwritten, the amount of any such ground rent increase may not exceed 10% of the co-op association's annual operating budget, as disclosed in the co-op project's fiscal year-end financial statements.

LIEN POSITION

The share loan must be secured by the assignment, in pledge or trust, of the borrower's leasehold estate; a pledge or trust of the corporation stock, shares, or membership certificate; and any other documents that are appropriate under individual state or local laws and practices.

The lender that is financing the share loan must receive an assignment of the proprietary lease, occupancy agreement, or other similar evidence of the right to occupy the unit for all share loans that it delivers to Fannie Mae. The lender must also obtain a stock power, assignment, or other similar document that authorizes the lender to transfer ownership interest in the event of a default. Valid financing statements and assignments of financing statements must be executed and filed, if necessary to perfect Fannie Mae's security interest under the Uniform Commercial Code of the state in which the property is located. Information searches or equivalent evidence of filing financing statements and assignments of financing statements must be obtained and must show that the Fannie Mae co-op share loan is in first-lien position. In those states in which co-op units are considered real property, perfection of the lien must comply with state law applicable to real estate.

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The share loan must be a first-lien, except that, where custom dictates to the contrary, Fannie Mae will permit its lien to be subordinate to the co-op corporation's lien against the tenant-stockholder's shares for unpaid assessments that represents the pro rata share of the corporation's payments for the blanket mortgage, current year's real estate taxes, operating expenses or maintenance fees, and special assessments.

Fannie Mae will also permit its lien to be subordinate to any assignment of rents or maintenance expenses in any mortgage or deed of trust that is secured by the co-op project, or any regulatory agreement entered into by the co-op corporation and the Secretary of HUD as a condition for obtaining HUD mortgage insurance.

NEGATIVE CASH FLOW FROM UNSOLD UNITS

This only applies to the five boroughs located within the five boroughs of New York City and the following NY Counties:

- Nassau
- Suffolk
- Rockland
- Westchester

Negative cash flow from unsold units is permitted provided all of the following requirements are met:

- The co-op corporation's last audited financial statement, current operating budget, and proposed operating budget for the following fiscal year, if any, and the New York State Attorney General's Financial Disclosure Statement ("Attorney General's Disclosure Statement") applicable to such co-op project must demonstrate that to the extent that the project has negative cash flow from unsold units.
 - Such negative cash flow including, but not limited to, any principal and interest payments relating to the financing obtained by the sponsor to acquire the co-op project will not exceed an amount equal to 5% of the project's annual operating budget
 - No more than 15% of the co-op unit owners are more than 30 days delinquent in the payment of their financial obligations to the co-op corporation
 - If the sponsor fails to pay the monthly assessments relating to all co-op units owned by the sponsor, the monthly assessments of the co-op share owners other than the sponsor will not increase by more than 10%.
- The Attorney General's Disclosure Statement or equivalent sponsor disclosure must also indicate that:
 - The sponsor is current on all financial obligations under the offering plan relating to the project
 - The sponsor is current on all financial obligations relating to any other project in which the sponsor owns or holds more than 10% of the units
 - The sponsor has not pledged any of the shares of the co-op project as security for any loan other than to secure, in whole or in part, the financing obtained by the sponsor to acquire the co-op project.
- The Attorney General's Disclosure Statement or equivalent sponsor disclosure must be dated no more than 18 months prior to the share loan note date.

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NEWLY CONVERTED NON-GUT REHABILITATION (PROJECTS WITH ATTACHED UNITS ONLY) THAT CONTAIN MORE THAN FOUR RESIDENTIAL UNITS

Newly converted non-gut rehabilitation projects must have PERS approval. Newly converted non-gut rehabilitation co-op projects is defined as follows:

- A project for which the building has been recently converted from another use such as, but not limited to, apartment use, hotel building, or warehouse;
- The renovation work did not involve structural or functional changes, such as the replacement of all HVAC and electrical components and was limited to cosmetic or design changes such as painting, flooring, and appliances; and
- The project meets the criteria for being a new project because any of the following conditions exist with respect to the status of the projects:
 - Fewer than 90% of the stock or shares have been sold to purchasers;
 - The developer or sponsor is in control of the co-op corporation;
 - The project is not fully completed, such as proposed construction, new construction, or the proposed or incomplete conversion of an existing building to a co-op; or
 - The project is subject to additional phasing or annexation.

The following newly converted projects may be reviewed by the lender through the standard co-op review process rather than being submitted to PERS:

- Any non-gut rehabilitation conversion project that was converted at least three years prior to the co-op share loan note date that is considered “newly converted” solely because more than 20% of the stock or shares are owned by the sponsor, refer to the [Single Entity Ownership](#) section; and
- 2 to 4-unit non-gut rehabilitation conversions.

OCCUPANCY REQUIREMENT

Stock, share, or other contractual agreement evidencing ownership, and the accompanying occupancy rights that represent at least 50% of the total number of stock or shares in the co-op corporation and the related occupancy rights of units in the project must have been sold and conveyed (or, for new construction, must be under contract for sale) to principal residence purchasers.

PRIOR CO-OP FINANCING

The co-op project must be in compliance with the requirements imposed by the holder of any prior financing for the project. If the blanket mortgage on a project includes a due-on-encumbrance clause and the project is located in a state in which share loans are considered to be an encumbrance on the project, the blanket lender must consent to the share loan financing. In the case of a conversion of an existing building, the blanket lender must agree to the use of the building as a co-op and, if it is feasible, agree—in the event of a default on the blanket mortgage—not to wipe out the shares of those tenant stockholders who are current in the payment of their assessments or carrying charges.

PRO RATA

When calculating the pro rata of the underlying mortgage use the calculation as follows:

[Underlying blanket mortgage(s) balance ÷ total number of outstanding shares in cooperative corporation x subject shares] ÷ (appraised value + subject share of the underlying blanket mortgage(s))

Example:

Underlying Mortgage(s)	\$8,900,000
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Total # of Shares Issued and Outstanding	100,000
Subject Unit Shares Outstanding	240
Pro Rata Share of Coop debt equals	\$21,360
Appraised Value of Unit	\$75,000
Unit Value plus Pro Rate Share of Coop debt	\$96,360
Percentage of Pro Rata Share to the Coop Unit	22.17%

The pro rata share should not exceed 35%. A higher ratio (not to exceed 40%) may be used when there are fully documented compensating factors that justify using the higher ratio.

SHARED AMENITIES

Shared amenities are permitted only two or more residential projects share amenities for the exclusive use of the unit owners. The associations or corporations must have an agreement in place governing the arrangement for shared amenities that includes the following:

- A description of the shared amenities subject to the arrangement; and
- A description of the terms under which unit owners in the project may use the shared amenities; and
- The provisions for the funding, management, and upkeep of the shared amenities; and
- The provisions to resolve conflicts between the residential projects regarding the amenities.

Examples of shared amenities include, but are not limited to clubhouses, recreational, or fitness facilities, and swimming pools.

The developer may not retain ownership interest in any of the facilities related to the project. The amenities and facilities, including parking and recreational facilities, may not be subject to a lease between the unit owners or the co-op corporation and another party. Parking amenities provided under commercial leases or parking permit arrangements with parties unrelated to the developer are acceptable.

Freddie Mac has clarified common elements, such as parking and recreational facilities, must not be subject to a lease between unit owners or the homeowners association (HOA) (as lessee) and any other party (as lessor), with the exception of commercial leases for parking or permit arrangements for parking entered into with parties unrelated to the developer.

SINGLE ENTITY OWNERSHIP

A project meets the definition of single-entity ownership when a single entity (the same individual, investor group, partnership, or corporation) owns more than the following total number of units in the project:

- projects with 5 to 20 units - 2 units
- projects with 21 or more units - 20%

Units currently subject to any rental or lease arrangement must be included in the calculation. This includes lease arrangements containing provisions for the future purchase of units such as lease-purchase and rent-to-own arrangements.

The following may be excluded from the single-entity ownership calculation:

- units that are owned by the project sponsor or developer and are vacant and being actively marketed for sale; or

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- units that are controlled or owned by a non-profit entity for the purpose of providing affordable housing, units held in affordable housing programs (including units subject to non-eviction rent regulation codes), or units held by higher-education institutions for a workforce housing program.

The single-entity ownership requirement may be waived when the transaction is a purchase transaction that will result in a reduction of the single-entity ownership concentration. In such instances, the following requirements must be met:

- units owned by the single entity represent no more than 49% of the units;
- evidence is required that the single entity is marketing units for sale to further reduce single-entity ownership, with the goal of reducing the concentration to 20% or less of the project units;
- the single entity is current on all HOA assessments; and
- there are no pending or active special assessments in the project.

For projects located in the five boroughs of the City of New York and New York state counties of Nassau, Rockland, Suffolk, and Westchester the sponsor may own more than 20% of the stock or shares in the corporation and the related occupancy rights provided that any such stock or share ownership above the 20% limitation pertains to units that are subject to statutory rent regulations that limit the sponsor's ability to sell his or her ownership interest in such shares or stocks. For *Fannie Mae Cooperative Property Program* only, [Doc. #5917](#), the sponsor may own more than 20%, but no greater than 40% of the stock or shares in the corporation and the related occupancy rights without the additional provisions.

The lender must obtain documentation to validate that the stock or share is subject to such regulations. Please review the below chart for the required documentation.

Required Documentation			
Sponsor's Financial Disclosure Requirements	Sponsor owned units are rent stabilized, rent controlled or been documented via the sponsor's website the intent to sell	Sponsor owned units are combination of rent stabilized, rent controlled and market rent	All sponsored owned units are rent stabilized, rent controlled or rent regulated
Attorney General Amendment filed in the past 12 months	X		
Attorney General Amendment filed in the past 24 months		X	
<i>Sponsor's financial Disclosure Statement</i> , Doc. #3259		X	X

The Attorney General Amendment must document the following:

- The sponsor is current on all financial obligations under the offering plan related to the project
- The sponsor is current on all financial obligations relating to any other project in which the sponsor owns or holds more than 20% of the units
- The sponsor has not pledged any of the shares of the co-op project as security for any loan other than to secure, in whole or in part, the financing obtained by the sponsor to acquire the co-op project.

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SUBSIDIES OR SIMILAR BENEFITS (SUCH AS TAX OR ASSESSMENT ABATEMENTS)

If the project is a recipient of subsidies or similar benefits (such as tax or assessment abatements) that will terminate partially or fully within the next three years, the lender must evaluate the impact the expiration of such benefit will have on the project. If the benefit is scheduled to expire within three years from the note date, the lender must include the higher monthly fees in the borrower's monthly liabilities for debt-to-income ratio qualifying purposes.

TITLE

The closing attorney is required to verify the co-op corporation has good and marketable title to the property, including the dwelling units and amenities.

CONVENTIONAL COOPERATIVE OVERLAYS

The Conventional Condominium Guidelines, include but not limited to, the following overlays to Fannie Mae or Freddie Mac Selling Guides:

COOP PROJECT EXPOSURE

Flagstar will not lend in projects where its exposure exceeds 20% of the units in project.